requirements of an official document was couched in language more restrained than his public speeches.

*Climate of Investment*

The Shroff Committee made a detailed appraisal of the overall climate for private sector investment in India and the suggestions for improving it. It highlighted the attitudes that were hurting the private sector but at the same time did not hesitate to point out the profiteering tendencies and unethical practices of large parts of the private sector. The Committee observed that there were several weaknesses within the private sector itself which tended to make investors shy of subscribing to industrial shares and debentures. 'The business community itself should inspire greater confidence in the investing public by enforcing proper discipline and codes of conduct on the management of industries and rooting out the many unhealthy practices that still prevail[3]. The Committee felt that not enough was being done to convince the public at large of the business community's awareness of its social responsibilities.

The Committee underlined the need for the private sector to enforce discipline and root out unhealthy business practices. The Committee gave the example of the stock values of new shares floated in the eight years since 1943, and quoted on the Calcutta Stock Exchange, which had depreciated by ₹282 crores. It held that apart from the general investment climate, it was the undesirable practice of trafficking in managing agencies by some business houses that had eroded investor confidence and resulted in the fall. This lack of confidence would hamper the development of the capital market and block availability of funds to the private sector.

In 1956, when Shroff set up the Forum of Free Enterprise largely as a vehicle for businessmen to counter government propaganda against private enterprise, he also formulated a code of conduct to be followed by businessmen and professionals since he was aware that much of the bad name private business had earned was due to sharp practices and a lack of transparency in its dealings. He wanted the private sector to clean up its act and emphasized the need for the private sector to establish the highest standards of integrity and efficiency. Revelations of profiteering by top industrial houses had led to massive support for Nehru's nationalization